OFFICE OF THE ASSISTANT SECRETARY OF WAR
3000 DEFENSE PENTAGON
WASHINGTON, DC 20301-3000

ACQUISITION
AND SUSTAINMENT

In reply refer to
DARS Tracking Number: 2026-O0017, Revision 2

MEMORANDUM FOR COMMANDER, UNITED STATES CYBER COMMAND (ATTN: ACQUISITION EXECUTIVE)
COMMANDER, UNITED STATES SPECIAL OPERATIONS COMMAND (ATTN: ACQUISITION EXECUTIVE)
COMMANDER, UNITED STATES TRANSPORTATION COMMAND (ATTN: ACQUISITION EXECUTIVE)
DEPUTY ASSISTANT SECRETARY OF THE ARMY (PROCUREMENT)
DEPUTY ASSISTANT SECRETARY OF THE NAVY (PROCUREMENT)
DEPUTY ASSISTANT SECRETARY OF THE AIR FORCE (CONTRACTING)
DEFENSE AGENCY AND DOD FIELD ACTIVITY DIRECTORS

SUBJECT: Class Deviation—Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 6, Defense FAR Supplement (DFARS) Part 206, Revision 2

Effective immediately, this class deviation revises and supersedes Class Deviation 2026-O0017, Revision 1, issued on January 23, 2026. Contracting officers must use—

- FAR part 6, Competition Requirements, published on the Revolutionary FAR Overhaul web page at *https://www.acquisition.gov/far-overhaul/far-part-deviation-guide/far-overhaul-part-6* in lieu of the text codified at 48 CFR chapter 1 (*https://www.ecfr.gov*);

- The attached revised DFARS part 206, Competition Requirements, in lieu of the text codified at 48 CFR chapter 2; and

- The attached revised DFARS Procedures, Guidance, and Information (PGI) 206, Competition Requirements, in lieu of the PGI text published on the Defense Pricing, Contracting, and Acquisition Policy web page at *https://www.acq.osd.mil/dpap/dars/dfarspgi/current/index.html*.

This revised class deviation implements the following:

- Section 2 of E.O. 14275, Restoring Common Sense to Federal Procurement, which establishes the policy that the FAR "should only contain provisions required by statute or essential to sound procurement, and any FAR provisions that do not advance these objectives should be removed."

- Section 4(a) of E.O. 14265, Modernizing Defense Acquisitions and Spurring Innovation in the Defense Industrial Base, which requires the Secretary of War to eliminate or revise any unnecessary supplemental regulations or any other internal guidance, such as relevant parts of the Financial Management Regulation and Defense Federal Acquisition Regulation Supplement.

- The Office of Management and Budget memorandum M-25-26 issued on May 2, 2025, titled, Overhauling the Federal Acquisition Regulation, which provided additional guidance to Federal agencies regarding the FAR overhaul.

- Corrections to the justification and approval authorities and delegations for actions conducted through other than full and open competitive procedures.

- Revisions to section and paragraph numbering and organization; addition of paragraph titles; consolidation of text; revisions to cited statutes; and other revisions to streamline and simplify text.

This class deviation remains in effect until rescinded or incorporated into the FAR, DFARS, and DFARS PGI. Address inquiries regarding this class deviation to *osd.pentagon.ousd-a-s.mbx.dfars@mail.mil*.

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John M. Tenaglia
Principal Director,
Defense Pricing, Contracting, and Acquisition Policy

Attachments:
As stated

PART 206–COMPETITION REQUIREMENTS

206.000 Scope of part.
See PGI 206.000 for information on various approaches to competitively fulfill DoD requirements.

206.001-70 Applicability.
This part does not apply to—

(a) As authorized by 10 U.S.C. 1091, personal services contracts awarded for health care to individuals using the procedures at 237.201-70(b)(1);

(b) As authorized by 10 U.S.C. 4022 for prototype projects, follow-on production contracts for products developed pursuant to the "other transactions" authority, when the contracting officer receives sufficient documentation from the agreements officer issuing the other transaction agreement for the prototype project that—

(1) The other transaction agreement included provisions for a follow-on production contract (10 U.S.C. 4022(f)(1)); and

(2) Where applicable, the threshold at 10 U.S.C. 4022(a)(2)(C) and the requirements at 10 U.S.C. 4022(f)(2)(A) and (B) have been met. See PGI 206.001-70 for additional guidance.

SUBPART 206.1—PRESOLICITATION

206.101 Full and open competition.

206.101-70 Other competitive procedures.
The following procedures are also considered competitive procedures:

(a) In lieu of FAR 6.101(b)(3)(ii), competitive selection of science and technology proposals resulting from a broad agency announcement with peer or scientific review, as described in 235.102(a) (10 U.S.C. 3012(2)).

(b) Competitive selection of proposals based on a review by scientific, technological, or other subject-matter expert peers resulting from a commercial solutions opening as described in subpart 212.70 (10 U.S.C. 3458) is a competitive procedure.

(c) The award of a contract as a prize resulting from a competitive selection of prize recipients for advanced technology achievements is a competitive procedure (10 U.S.C. 4025(f)), when the solicitation is widely advertised, including through the Governmentwide point of entry (see FAR part 5). See PGI 206.101-70 for approval requirements.

206.102 Full and open competition after excluding sources.

206.102-70 Establishing or maintaining alternative sources.

(a) *Authority*. To establish or maintain alternative sources, departments and agencies may use this authority to totally or partially exclude a particular source from a contract action.

(b) *Requirements*. Identify the excluded source in the determination and findings and its supporting documentation (FAR 6.102-1(b)). Include the information at PGI 206.102-70(b), as applicable, and any other information that may be pertinent, in the supporting documentation.

206.103 Other than full and open competition.

206.103-170 Only one responsible source and no other supplies or services will satisfy agency requirements.

(a) *Authority*. See FAR 6.103-1. Follow the procedures at PGI 206.103-170 prior to soliciting a proposal without providing for full and open competition under this authority.

(b) *Unsolicited proposals for studies, analyses, or consulting services*. Section 8059 of the Defense Appropriations Act for Fiscal Year 1991 (Pub. L. 101-511) and similar sections in subsequent defense appropriations acts prohibit departments and agencies from contracting for studies, analyses, or consulting services (see FAR subpart 37.4) based on an unsolicited proposal without providing for full and open competition, unless—

(1) The head of the contracting activity, or a designee no lower than chief of the contracting office, determines that—

(i) Following thorough technical evaluation, only one source is fully qualified to perform the proposed work;

(ii) The unsolicited proposal offers significant scientific or technological promise, represents the product of original thinking, and was submitted in confidence; or

(iii) The contract benefits the national defense by taking advantage of a unique and significant industrial accomplishment or by ensuring financial support to a new product or idea;

(2) A civilian official of the DoD, whose appointment has been confirmed by the Senate, determines the award to be in the interest of national defense; or

(3) The contract is related to improvement of equipment that is in development or production.

(c) *Test articles and associated support services*. This authority may be used for

acquisitions of test articles and associated support services from a designated foreign source under the DoD Foreign Comparative Testing Program (10 U.S.C. 2350a(g)).

(d) *Brand-name or equal descriptions*. Notwithstanding FAR 6.103-1(d), in accordance with section 888(a) of the National Defense Authorization Act (NDAA) for Fiscal Year (FY) 2017 (Pub. L. 114-328), the justification and approval (J&A) addressed in FAR 6.104 is required to use brand name or equal descriptions.

(e) *Proprietary specifications or standards*. In accordance with section 888(a) of the NDAA for FY 2017, the J&A addressed in FAR 6.104 is required to use proprietary specifications and standards.

206.103-270 Unusual and compelling urgency.
See PGI 206.103-270 for guidance on circumstances this authority may be appropriate.

206.103-370 Industrial mobilization; engineering, developmental, or research capability; or expert services.

(a) *Authority*. See FAR 6.103-3.

(b) *Provision*. Insert the provision at 252.206-7000, Domestic Source Restriction, in all solicitations restricted to domestic sources under the authority of FAR 6.103-3.

206.103-470 International agreement.

(a) *Authority*. 10 U.S.C. 3204(a)(4).

(b) *Agreements*. Pursuant to 10 U.S.C. 3204(e)(4)(E), the justification and approval described in FAR 6.104 is not required if the head of the contracting activity prepares a document that describes the terms of an agreement or treaty or the written directions, such as a Letter of Offer and Acceptance, that has the effect of requiring the use of other than competitive procedures for the acquisition.

206.103-570 Authorized or required by statute.

(a) *Authority*. See FAR 6.103-5.

(b) *Authorized by statute*. Departments and agencies may use this authority to acquire the following:

(1)(i) Supplies and services from military exchange stores outside the United States for use by the armed forces outside the United States in accordance with 10 U.S.C. 2424(a) and subject to the limitations of 10 U.S.C. 2424(b).

(ii) The limitations of 10 U.S.C. 2424(b)(1) and (2) do not apply to the purchase of soft drinks manufactured in the United States. For the purposes of 10 U.S.C. 2424, soft drinks manufactured in the United States are brand name carbonated sodas, manufactured in the United States, as evidenced by product markings.

(2) Police, fire protection, airfield operation, or other community services from

local governments at military installations to be closed under the circumstances in 237.7401 (section 2907 of the Defense Authorization Act of FY 1994 (Pub. L. 103-160)).

(3) Products and services under the Pilot Program to Incentivize Contracting with Employee-Owned Businesses (see subpart 270.1).

(c) *Limitations*.

(1) 10 U.S.C. 4141 precludes use of this exception for awards to colleges or universities for the performance of research and development, or for the construction of any research or other facility, unless—

(i) The statute authorizing or requiring award specifically—

(A) States that the statute modifies or supersedes the provisions of 10 U.S.C. 4141;

(B) Identifies the particular college or university involved; and

(C) States that award is being made in contravention of 10 U.S.C. 4141(a); and

(ii) The Secretary of Defense provides Congress written notice of intent to award. The contract cannot be awarded until 180 days have elapsed since the date Congress received the notice of intent to award. Contracting activities must submit a draft notice of intent with supporting documentation through channels to the Principal Director, Defense Pricing, Contracting, and Acquisition Policy, Office of the Under Secretary of Defense (Acquisition and Sustainment).

(2) The limitation in paragraph (c)(1) of this section applies only if the statute authorizing or requiring award was enacted after September 30, 1989.

(3) Subsequent statutes may provide different or additional constraints on the award of contracts to specified colleges and universities. Contracting officers should consult legal counsel on a case-by-case basis.

(d) *8(a) sole-source contracts*. In lieu of FAR 6.104-1(b) and in accordance with section 823 of the NDAA for FY 2020 (Pub. L. 116-92), under this authority departments and agencies are authorized to award 8(a) sole-source contracts (15 U.S.C. 637(a)), for—

(1) An amount exceeding $100 million when—

(i) The contracting officer justifies the use of a sole-source contract in writing as described in FAR 6.104-1;

(ii) The justification is approved in accordance with 206.104-71; and

(iii) The justification and related information are publicly available after award in accordance with FAR 6.301; or

(2)(i) An amount not exceeding $100 million; and

(ii) In lieu of FAR 6.103-5(e), a J&A is not required.

206.103-770 Public interest.
For the defense agencies, the Secretary of Defense must approve the written determination to use this authority.

206.104 Justification and approval.

206.104-70 Justification content.

(a)(1) Except as provided in paragraph (b) of this section, each justification required under 206.103 will include the information at FAR 6.104-1(a).

(2) Include the information required by PGI 206.104-70 in justifications citing the authority at 206.103-170 or FAR 6.103-1.

(b) In lieu of the threshold at FAR 6.104-1(b), each justification for a sole-source 8(a) contract exceeding $100 million will include the information at FAR 6.104-1(b).

206.104-71 Approval of justification.
In lieu of the thresholds at FAR 6.104-2(b) Table 6-1 and in accordance with 10 U.S.C. 3204(e)(1)(B), approval levels are as follows:

Table 206-1. Approval authorities for other than full and open competition.

Value (including options)	Approval Authority
$10 million or below	Contracting officer Accomplished by certification required at FAR 6.104-1(a)(12)
Exceeding $10 million but not more than $100 million	Competition advocate Not delegable
Exceeding $100 million but not more than $500 million	Head of the contracting activity (HCA) Delegable in accordance with paragraph (a) of this section
Exceeding $500 million	Senior procurement executive (SPE) Delegable in accordance with paragraph (b) of this section

(a) The HCA may only delegate this authority to an officer or employee who—

(1) If a member of the armed forces, is a general or flag officer; or

(2) If a civilian, is serving in a position with a grade under the General Schedule (or any other schedule for civilian officers or employees) that is comparable to or higher than the grade of brigadier general or rear admiral (lower half).

(b) When the Under Secretary of Defense (Acquisition and Sustainment) is acting as the SPE for DoD, this authority is delegable only to—

(1) An Assistant Secretary of Defense; or

(2) For a defense agency, an officer or employee serving in, assigned, or detailed to that agency who—

(i) If a member of the armed forces, is serving in a rank above brigadier general or rear admiral (lower half); or

(ii) If a civilian, is serving in a position with a grade under the General Schedule (or any other schedule for civilian officers or employees) that is comparable to or higher than the grade of major general or rear admiral.

(c) For a non-competitive follow-on acquisition to a previous award for the same supply or service supported by a justification for other than full and open competition citing the authority at FAR 6.103-1, follow the procedures at PGI 206.104-71.

(d) In accordance with section 823 of the NDAA for FY 2020 (Pub. L. 116-92), the HCA is the approval authority for a proposed sole-source 8(a) contract exceeding $100 million. This authority is delegable in accordance with paragraph (a) of this section.

SUBPART 206.3—POSTAWARD

206.301 Availability of the justification.
See PGI 206.301 for further guidance on the requirements for preparing, obtaining approval, and posting justification and approval documents for contracts awarded using the authority of FAR 6.103.

PART 252—SOLICITATION PROVISIONS AND CONTRACT CLAUSES

SUBPART 252.2—TEXT OF PROVISIONS AND CLAUSES

252.206-7000 Domestic Source Restriction.
As prescribed at 206.103-370, insert the following provision:

DOMESTIC SOURCE RESTRICTION
(AUG 2023)

This solicitation is restricted to domestic sources under the authority of 10 U.S.C. 3204(a)(3). Foreign sources, except Canadian sources, are not eligible for award.

(End of provision)

PGI 206–COMPETITION REQUIREMENTS

PGI 206.000 Scope of part.

For information on various approaches that may be used to competitively fulfill DoD requirements, see the Office of the Under Secretary of Defense for Acquisition, Technology, and Logistics Guidelines for Creating and Maintaining a Competitive Environment for Supplies and Services in the Department of Defense (*https://www.acq.osd.mil/asda/dpc/cp/policy/docs/comp/BBP_2-0_Comp_Guidelines_Update_(3_Dec_2014).pdf*).

PGI 206.001-70 Exception for prototype projects for follow-on production contracts.

(b) The following documents provide additional information on other transaction agreements:

(1) The DoD Other Transaction Guide (*https://www.acq.osd.mil/asda/dpc/cp/policy/other-policy-areas.html)*.

(2) USD(A&S) Memorandum, titled Authority for Use of Other Transactions for Prototype Projects Under 10, United States Code, Section 4022, dated August 27, 2025 (*https://www.acq.osd.mil/asda/dpc/cp/policy/docs/pa/USD(A&S)_Updated_Delegation_of_OT_Authority_Memo.pdf*).

PGI 206.1—PRESOLICITATION

PGI 206.101 Full and open competition.

PGI 206.101-70 Other competitive procedures.

(c) Approval of the Under Secretary of Defense for Research and Engineering is required prior to the award of a contract resulting from a prize competition that exceeds $10,000 (see 10 U.S.C. 4025(c)(3)). Obtain the approval from the program office and include it in the contract file.

PGI 206.102 Full and open competition after excluding sources.

PGI 206.102-70 Establishing or maintaining alternative sources.

(b)(1) When establishing or maintaining alternative sources, include the following information, as applicable, and any other information that may be pertinent, in the supporting documentation:

(i) The acquisition history of the supplies or services, including sources, prices, quantities, and dates of award.

(ii) The circumstances that make it necessary to exclude the particular source from the contract action, including—

(A) The reasons for the lack of or potential loss of alternative sources; e.g.,

the technical complexity and criticality of the supplies or services; and

(B) The current annual requirement and projected needs for the supplies or services.

(iii) Whether the existing source must be totally excluded from the contract action or whether a partial exclusion is sufficient.

(iv) The potential effect of exclusion on the excluded source in terms of loss of capability to furnish the supplies or services in the future.

(v) When FAR 6.102-1(a)(1) is the authority, the basis for—

(A) The determination of future competition; and

(B) The determination of reduced overall costs. Include, as a minimum, a discussion of start-up costs, facility costs, duplicative administration costs, economic order quantities, and life cycle cost considerations.

(vi) When FAR 6.102-1(a)(2) is the authority—

(A) The current annual and mobilization requirements for the supplies or services, citing the source of, or the basis for, the data;

(B) A comparison of current production capacity with that necessary to meet mobilization requirements;

(C) An analysis of the risks of relying on the present source; and

(D) A projection of the time required for a new source to acquire the necessary facilities and achieve the production capacity necessary to meet mobilization requirements.

(2) The following is a sample format for Determination and Findings citing the authority of FAR 6.102-1(a):

Determination and Findings

Authority to Exclude a Source

In accordance with 10 U.S.C. 3203(a)(1), it is my determination that the following contract action may be awarded using full and open competition after exclusion of _____*:

(Describe requirement.)

Findings

The exclusion of _____*

Alternate 1: will increase or maintain competition for this requirement and is expected to result in a reduction of $_____ in overall costs for the present and future acquisition of these supplies or services. (Describe how estimate was derived.)

Alternate 2: is in the interest of national defense because it will result in having a supplier available for furnishing these supplies or services in case of a national emergency or industrial mobilization. (Explain circumstances requiring exclusion of source.)

Alternate 3: is in the interest of national defense because it will result in establishment or maintenance of an essential engineering, research or development capability to be provided by an educational or other nonprofit institution or a federally funded research and development center. (Explain circumstances requiring exclusion of source.)

* Identify source being excluded.

PGI 206.103 Other than full and open competition.

PGI 206.103-170 Only one responsible source and no other supplies or services will satisfy agency requirements.

When utilizing the authority at DFARS 206.103-170 or FAR 6.103-1, the contracting officer must post a request for information or a sources sought notice and must include the results of this inquiry in the justification required by FAR 6.104. This requirement to post may be waived by the head of the contracting activity. The waiver authority may not be delegated lower than a general or flag officer or a member of the Senior Executive Service.

PGI 206.103-270 Unusual and compelling urgency.

The circumstances under which use of this authority may be appropriate include, but are not limited to, the following:

(a) Supplies, services, or construction needed at once because of fire, flood, explosion,

or other disaster.

(b) Essential equipment or repair needed at once to—

(1) Comply with orders for a ship;

(2) Perform the operational mission of an aircraft; or

(3) Preclude impairment of launch capabilities or mission performance of missiles or missile support equipment.

(c) Construction needed at once to preserve a structure or its contents from damage.

(d) Purchase requests citing an issue priority designator under DoD Manual 4140.01, Volume 5, DoD Supply Chain Materiel Management Procedures: Delivery of Material, of 4 or higher, or citing "Electronic Warfare QRC Priority."

PGI 206.104 Justification and approval.

PGI 206.104-70 Justification content.
Justifications citing the authority at DFARS 206.103-170 or FAR 6.103-1 to permit the use of other than full and open competition, must—

(a) Include the results of the request for information or sources sought notice posted in accordance with PGI 206.103-170 (unless the requirement to post has been waived); and

(b) For non-competitive follow-on acquisitions of supplies or services previously awarded on a non-competitive basis, include a copy of the previous justification to assist the approval authority in determining whether the planned actions to remove any barriers to competition cited on the previous justification were completed.

PGI 206.104-71 Approval of justification.
For a non-competitive follow-on to a previous award for the same supply or service supported by a justification for other than full and open competition citing the authority at DFARS 206.103-170 or FAR 6.103-1—

(a) The justification must include a copy of the previous justification to assist the approval authority in determining whether the planned actions to remove any barriers to competition cited on the previous justification were completed; and

(b) The approval authority must determine whether the planned actions were completed. If the actions were not completed, the justification for the follow-on acquisition must be approved by the approval authority one level above the approval authority for the previous justification (see FAR 6.104-2). If the senior procurement executive (SPE) approved the previous justification, the approval remains at the SPE level.

PGI 206.3—POSTAWARD

PGI 206.301 Availability of the justification.
See OUSD(AT&L) DPAP memorandum, “Noncompetitive Contracts Awarded Based on Urgency” (*https://www.acq.osd.mil/dpap/policy/policyvault/USA001100-15-DPAP.pdf*), dated April 13, 2015, for further guidance on the justification and approval documents required for contracts awarded using the unusual and compelling urgency exception.